

Indirect Tax Policy and Administration

Design Principles and Best Practices

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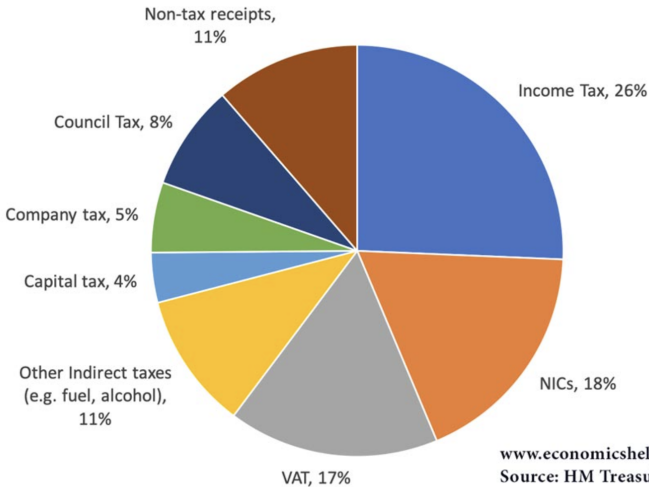
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Introduction to Indirect Tax

- **Definition:** An indirect tax is a tax collected by an intermediary (such as a retailer) from the person who bears the ultimate economic burden of the tax (such as the consumer). The intermediary later files a tax return and forwards the tax proceeds to the government with the return.
- **Examples:** VAT, sales tax, excise tax, customs duties.

Tax Revenues in the UK

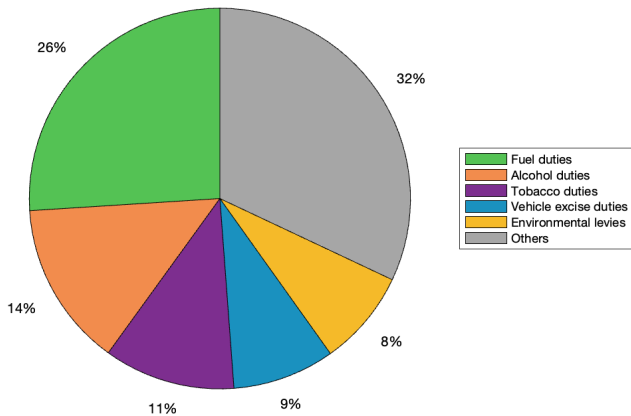
Government Revenue Sources



Introduction to Excise Tax

- **Definition:** Excise tax is a tax on specific goods, services, or activities.
 - Typically included in the price of the product.
- **Purpose**
 - Generate revenues
 - Discourage harmful behaviors
 - Address externalities.
- **Examples:** Fuel, sugar, tobacco, alcohol, and luxury goods.

Excise Tax Shares, UK Forecast, 2023-24



Design Principles of Indirect and Excise Taxes

- **Efficiency:** Minimizing economic distortions, harms, and compliance costs. (Objective 1)
- **Revenue Generation:** Providing a stable and predictable source of government revenue. (Objective 2)
- **Simplicity:** Easy for taxpayers to understand and for authorities to administer.
- **Plan:** Guide market expectation/response and provide market/revenue stability

Approaches to Identifying and Defining Harmful Products

- **Criteria:** Health impacts, environmental damage, and social costs.
- **Stakeholder Input:** Involving public health experts, environmental scientists, public policy experts, and the public.
- **Examples:** Fossil fuels (environment), sugar (health), tobacco (health), and alcohol (health and social).

Tax Design Principles and Implementation Options

Principles: Developing a structured approach to categorize and tax products according to

1. Harm/risk level (Objective 1: minimizing harms)
 - Higher (same) level of harm/risk: higher (same) tax
2. Elasticity (Objective 2: stable government revenue)
 - Higher elasticity (self and cross elasticities): lower tax rate

Roadmap

- **Implementation Options**
 - Tax base: Specific vs Ad-valorem
 - Single-tier vs Multi-tier tax systems
- **Examples:** Europe and ASEAN countries
- **Quantitative Analysis**
 - Predict market response, harm and tax revenue given tax reforms and plans

Tax Base Options for Excise Taxes

- **Specific Tax (Volume-Based)**

- Tax per unit of product such as alcohol units (ABV), per pack of cigarettes, etc.

- **Ad Valorem (Value-Based)**

- Tax as a percentage of product price, aligning tax with value.

Specific Tax (Volume-Based)

- **Advantages**

1. Directly linked to harm/externalities
2. Provides predictable revenue
3. Simple to administer and understand

- **Disadvantage**

1. Doesn't align tax with price difference
 - Advantage for Health
 - Can align with price change over time through indexation or multi-year tax plans

- **Examples:** Fixed amount per liter of gasoline, alcohol units (ABV) or per pack of cigarettes.

Ad Valorem (Value-Based)

- **Advantages**

1. Aligns tax with product price, potentially progressive.

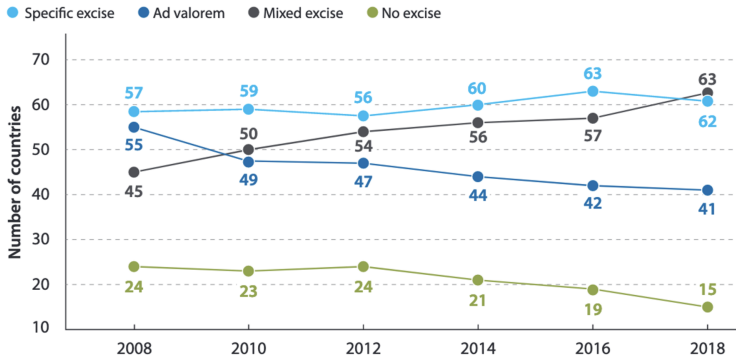
- **Disadvantages**

1. Industry manipulation or tax avoidance
2. Revenue fluctuations with price changes
3. Complexity in administration

- **Examples**

- Percentage of the retail price of luxury goods

Global Trend of Excise Tax Structure



Single-Tier Tax System

- **Definition:** A unitary tax system applies a single, uniform tax rate across all products or categories.
- **Simplicity:** Easier to administer and enforce due to a single rate.
- **Clarity:** Transparent and easy for businesses and consumers to understand.
- **Efficiency:** Reduces administrative costs and compliance burdens.
- **Inflexibility:** Cannot easily target specific products for higher taxation based on, e.g., prices.

Multi-Tier Tax System

- **Definition:** Different tax rates for different categories of products.
- **Flexibility:** Adjust rates based on product characteristics, harm, price (ad valorem), and production volume.
- **Complexity:** More difficult to administer.
- **Gaming the System:** Potential for down-shifting, i.e., pricing harmful products in the lower tiers.

Single- vs Multi-Tier Tax System

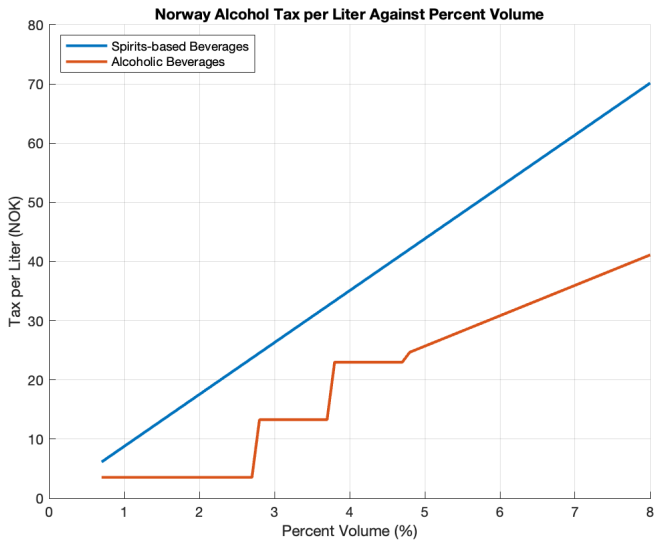
- **Health Perspective:** Every unit, independent of its price, is equally harmful.
- **Simplicity:** Simpler excise tax structures, utilized in all high-income countries, leave the least room for industry manipulation or tax avoidance.
- WHO, July 2015: "... evidence demonstrates that simpler excise tax structures – utilized in all high-income countries – leave the least room for industry manipulation or tax avoidance and brand/product switching by consumers."
- **Consistent taxation with harm:** A single-tier, specific tax system

Example: Fuel Excise Tax in Germany

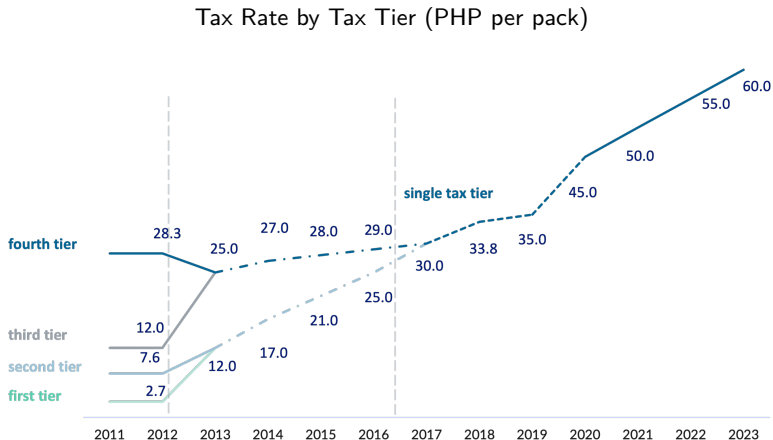
- **Policy Design:** Taxes on gasoline and diesel to reduce emissions and fund infrastructure.
- **Examples:** Germany (eco-tax on fuels),
 - Gasoline: € 0.67 per liter
 - Diesel: € 0.49 per liter
 - Lower CO₂ emission per liter for diesel
- **Impact:** Encourages fuel efficiency, reduces emissions, and generates significant revenue.

Example: Alcohol Excise Tax in Norway

- **Policy Design:** High taxes based on alcohol units (ABV).
- **Examples:** Norway
 - Spirits-based beverages: NOK 8.77 per volume percent per liter
 - Alcoholic beverages
 - 0.7~2.7%: NOK 3.53 per liter
 - 2.7~3.7%: NOK 13.28 per liter
 - 3.7~4.7%: NOK 22.99 per liter
 - 4.7~22%: NOK 5.14 per volume percent per liter
- **Benefits:** Reduced alcohol consumption, lower health and social costs, and higher revenues.

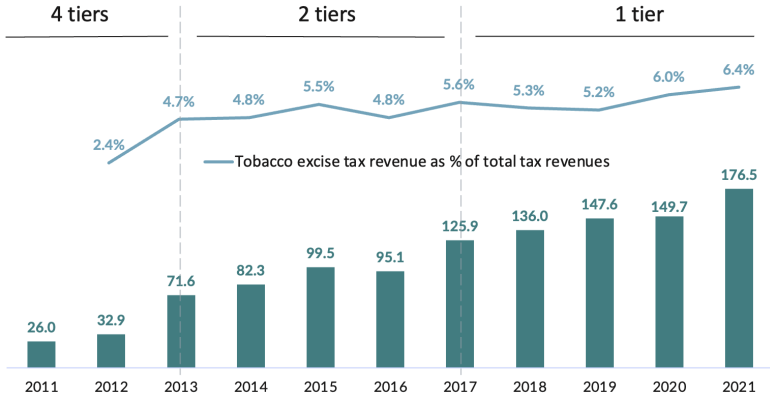


Example: Tobacco Excise Tax in the Philippines



Sin tax reform from 2012: four-tier -> two tiers -> one tier;
tax increase; gradual harmonization within five years.

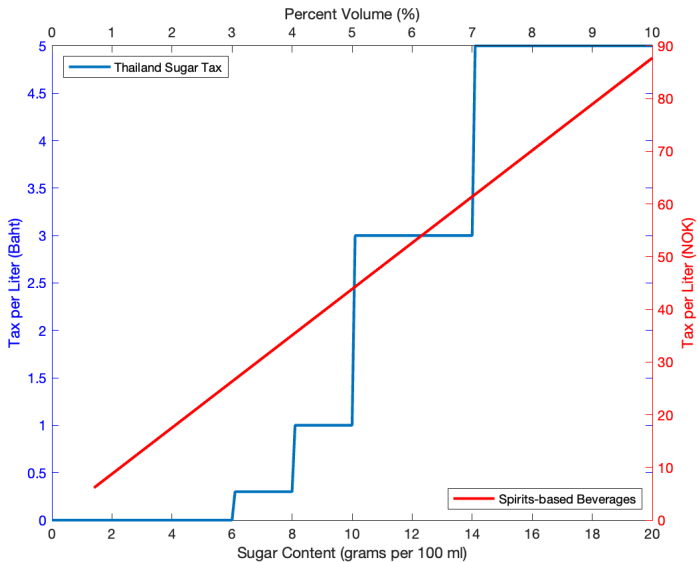
Tobacco excise tax revenues (bio. PHP) and in % of total tax revenues, 2012 – 2021



Reforms to tax structure alongside regular tax increases lead to large and consistent revenue increases.

Example: Sugar Tax in Thailand

- Higher tax rates based on sugar content, effective from April 1, 2023.
- Rates:
 - 0-6 grams: 0 baht per liter.
 - 6-8 grams: 0.3 baht per liter.
 - 8-10 grams: 1 baht per liter.
 - 10-14 grams: 3 baht per liter.
 - 14-18 grams: 5 baht per liter.
 - Above 18 grams: 5 baht per liter.
- Essentially based on the volume of harmful contents
 - Similar to alcohol tax in Norway
 - Tax is directly linked to the units of harmful contents (sugar/alcohol) but not other factors unrelated to harm (value, firm characteristics)



Quantitative Tax Analysis: Tax Reform

- EU Tobacco Market, status quo

	Current Year	Year 1	Year 2	Year 3	Year 4	Year 5
	(Status Quo)	Future Years				
Billion sticks : FMC	386	378	369	359	348	336
Billion sticks : FC	128	125	122	119	115	111
Billion sticks : NP	54	59	65	72	79	87

- Quantities in the status quo (current year) and in the following five years without a tax reform.
- FMC: Factory-Made Cigarettes; FC: Fine Cut; NP: New Products.

Tax Reform: Maintain Revenue, Reduce Harm

	Current Year	Year 1	Year 2	Year 3	Year 4	Year 5
	(Status Quo)	Optimized				
Tax FMC	17.0	18.6	21.3	23.0	26.4	30.1
Tax FC	10.9	10.8	10.7	11.2	12.1	13.4
Tax NP	0.0	0.0	0.0	0.0	0.0	0.0

- Tobacco tax revenue attains a certain level in all years: Same as the current year
- Minimize tobacco harm: Reduce FMC and FC
- Increase tax per unit for FMC and FC: higher harm, lower elasticity
- Zero tax for NP in this experiment
- Alternative reform: increase tax for all products to increase tax revenue, while maintaining tax difference to minimize harm

Quantities with Tax Reform

	Current Year	Year 1	Year 2	Year 3	Year 4	Year 5
	(Status Quo)	Optimized				
Billion sticks : FMC	386.0	350.1	298.0	273.3	232.8	198.2
Billion sticks : FC	127.5	136.0	149.9	148.6	150.8	148.5
Billion sticks : NP	54.0	62.2	73.6	85.3	102.3	122.3

- Fast decreasing quantities of FMC
- Stable quantities of FC
- Increasing quantities of NP

Tax Revenues with Tax Reform

	Current Year	Year 1	Year 2	Year 3	Year 4	Year 5
	(Status Quo)	Optimized				
Billion Euros : FMC	65.7	65.0	63.4	62.8	61.4	59.7
Billion Euros : FC	13.9	14.7	16.0	16.7	18.2	19.9
Billion Euros : NP	0.0	0.0	0.0	0.0	0.0	0.0
Billion Euros : Total	79.6	79.6	79.6	79.6	79.6	79.6

- Stable revenues from FMC and FC, and in total

Good Practices in Excise Taxation

- **Examples and Lessons Learned**

- Clear objectives: taxing harm, stable revenue
- Single-tier specific tax vs Multi-tier Ad Valorem tax: the former is more efficient for the objectives

- **Recommendations**

- Multi-year plan (German eco-tax, Philippine tobacco tax reform, 5 years)
- Transparency
- Flexibility to adapt to new challenges

Considerations for Other Harm Goods

- **Policy Adaptation:** Applying excise tax principles to other harmful goods.
- **Examples:** Potential future categories like digital products with negative social impacts.
- **Future Trends:** Anticipating and preparing for emerging harmful products.

Challenges and Opportunities

- **Implementation Challenges:** Administrative complexity, compliance issues, and potential for evasion.
- **Opportunities for Improvement:** Leveraging technology for better enforcement, international cooperation, and continuous policy refinement.
- **Innovative Approaches:** Exploring new tax mechanisms and incentives to address emerging issues.

Conclusion

- **Objectives**

1. Minimizing harm
2. Providing stable and predictable government revenue

- **Economic Principles**

1. Higher level of harm: higher tax
2. Lower elasticity (including self and cross elasticities): higher tax rate

- **Practical Principles:** simplicity, efficiency, transparency

- **Implementation Options**

- Single-tier specific tax vs Multi-tier Ad Valorem tax
- The former is more efficient for the objectives